

Buffett sees the announced merger and must make a decision. First of all, he tries to assess the degree of certainty. Some corporate deals don't materialize. The board of directors could unexpectedly resist the idea of the merger or the Federal Trade Commission might voice an objection. No one ever knows with certainty whether a risk arbitrage deal will close, and that is where the risk comes in.

Buffett's decision process is an exercise in subjective probability. He explains: "If I think there is a 90 percent chance of occurring and there is 3 points on the upside and there is a 10 percent chance that it will fall through and there is 9 points on the downside, then that's \$0.90 off of \$2.70, leaving \$1.80 mathematical expectation."¹⁵

Next, said Buffett, you have to figure in the time span involved and then relate the return of the investment to other investments available to you. If you bought one share of Abbott Company at \$27, there is, according to Buffett's mathematics, a potential 6.6 percent return ($\$1.80/\27). If the deal is expected to close in six months, the annualized return on the investment would be 13.2 percent. Buffett would then compare the return from this risk arbitrage with other returns available to him.

Buffett freely acknowledges that risk arbitrage carries the potential for loss. "We are perfectly willing to lose money on a given transaction," he said, "arbitrage being one example, but we're not willing to enter into any transaction in which we think the probability of a number of mutually independent events of similar type has an expectancy of loss. We hope," he added, "that we're entering into transactions where our calculations of those probabilities have validity."¹⁶

We can see quite clearly that Buffett's risk arbitrage estimates are subjective probabilities. There is no frequency distribution in risk arbitrage. Every deal is different. Every circumstance requires different estimations. Even so, there is value to approaching the risk arbitrage deal with some rational mathematical calculation. The process, we shall learn, is no different when you invest in common stocks.

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